

“He has spanned the value chain from discovery and innovation to commercialisation. Besides, he has remained a trusted brand custodian for over two dozen global pharma companies.”

Biting the bullet

Moving with the changing times is what Piramal has managed to do well. Post the DHFL buyout, he is investing “a lot in fintech and got in people from companies like Amazon”, he says. The focus on technology was also at the bidding stage when the group made extensive use of AI & ML. “We are looking at the fintech space for buyouts, too. Valuations have dropped unlike pharmaceuticals, where they are still high,” he adds. The plan for DHFL is to invest in technology or go for what he calls the “phygital approach”.

According to Deven Choksey, MD of KRChoksey Securities, Piramal’s strength lies in successfully building businesses and monetising them. “That is possible only because he manages to exit ahead of time,” he says. Choksey identifies the instances of Vodafone (return of 1.5x in two years) or now, the Shriram Group. “The acquisition of DHFL is another example. Here, it was a distressed asset and he has backed it up with professional management. During the period of expansion, money is raised (a case in point being Carlyle picking up a 20 per cent stake in the pharma business for \$490 million) and backed up with technology as one is seeing in DHFL today,” says Choksey. To him, the latter is about rebuilding a business where the scope is huge. “If the journey is towards becoming a bank, the option is to go universal or digital or a combination



Piramal Realty, run by Anand Piramal, focusses on both commercial and residential projects and operates in and around Mumbai. It counts Goldman Sachs and Warburg Pincus among its investors

of both. DHFL is already in the NBFC business with a customer base. The task on hand is to employ technology well and bring in the managers,” he explains.

The growth drivers for financial services in a market with low levels of penetration like India, says Bunt Chawla, AVP of IDBI Capital, are financial inclusion, formalisation of the economy, consumption behaviour and rising per capita income, among other things. “The buyout of

DHFL bodes well for the Piramal Group’s own financial services portfolio since it is a diversification into retail home loans. This has lower asset quality risks compared to what one normally sees in the real estate construction portfolio.”

In terms of where DHFL’s business is placed today, Chawla points out it is focussed on self-employed retail home loans in the Tier III-VI centres. “Banks were reluctant to enter this segment